MGT201 - Financial Management (Quiz 3)

Question # 4 of 10 (Start time: 01:23:30 PM, 06 January 2026)

Which of the following statements is incorrect regarding traditional theory of capital structure?

Select the correct option

○	It is a theory of relevance
◉	It is a theory of irrelevance
○	There exits an optimal capital structure where value is maximized and cost is minimized
○	Firm value is dependent on capital structure

MGT201 - Financial Management (Quiz 3)

Question # 3 of 10 (Start time: 01:23:19 PM, 06 January 2026)

Cost of debt includes:

Select the correct option

○	Cost of debentures
●	All of the given options
○	Cost of fixed income securities
○	Cost of bonds

MGT201 - Financial Management (Quiz 3)

Question # 10 of 10 (Start time: 01:22:18 PM, 06 January 2026)

Securities issued to offer specified rate of return are classified as:

Select the correct option

○	Interest-bearing instruments
●	All of the given options
○	Debentures
○	Debt instruments

MGT201 - Financial Management (Quiz 3) **Quiz Start Time: 01:**

Question # 1 of 10 (Start time: 01:22:50 PM, 06 January 2026)

As per Net operating income theory; with the increase in leverage, shareholders return _____ with a proportion that overall cost of capital remains the same.

Select the correct option

◉	Increases
○	Cannot be determined
○	Remains the same
○	Decreasesc

Click to Save Answer &

MGT201 - Financial Management (Quiz 3)

Question # 2 of 10 (Start time: 01:23:06 PM, 06 January 2026)

Size of a firm as per balance sheet is represented through:

Select the correct option

○	All of the given options
○	Market value
◉	Book value
○	Economic value

MGT201 - Financial Management (Quiz 3)

Question # 9 of 10 (Start time: 01:22:02 PM, 06 January 2026)

Which of the following statements is incorrect regarding traditional theory of capital structure?

Select the correct option

○	Firm value is dependent on capital structure
○	It is a theory of relevance
○	There exits an optimal capital structure where value is maximized and cost is minimized
◉	It is a theory of irrelevance

MGT201 - Financial Management (Quiz 3)

Question # 8 of 10 (Start time: 01:21:49 PM, 06 January 2026)

Prime objective of a commercial business is:

Select the correct option

○	Fulfillment of corporate social responsibilities
○	Economic uplift
◉	Profit maximization
○	All of the given options

MGT201 - Financial Management (Quiz 3)

Question # 7 of 10 (Start time: 01:21:38 PM, 06 January 2026)

Which of the following is the feature of a perfect market?

Select the correct option

○	Large number of buyers and sellers
●	All of the given options
○	No barriers of entry and exist
○	No product differentiation

MGT201 - Financial Management (Quiz 3)

Question # 6 of 10 (Start time: 01:21:22 PM, 06 January 2026)

Value of a levered firm can be calculated through:

Select the correct option

○	Value of levered firm = Value of un-levered firm* tax shield benefit
○	Value of levered firm = Value of un-levered firm / tax shield benefit
○	Value of levered firm = Value of un-levered firm - tax shield benefit
◉	Value of levered firm = Value of un-levered firm + tax shield benefit

MGT201 - Financial Management (Quiz 3)

Question # 5 of 10 (Start time: 01:21:11 PM, 06 January 2026)

Which of the following is a type of bond?

Select the correct option

- (●) All of the given options
- ( ) Coupon bond
- ( ) Maturity bond
- ( ) Zero coupon bond

MGT201 - Financial Management (Quiz 3) **Quiz Start Time: 01:20**

Question # 4 of 10 (Start time: 01:20:58 PM, 06 January 2026)

As per Net operating income theory; with the increase in leverage, shareholders return _____ with a proportion that overall cost of capital remains the same.

Select the correct option

Re

- Remains the same
- Cannot be determined
- Decreasesc
- Increases

Click to Save Answer & M

MGT201 - Financial Management (Quiz 3)

Question # 3 of 10 (Start time: 01:20:46 PM, 06 January 2026)

Which of the following is known as theory of irrelevance?

Select the correct option

◉	Net operating income theory
○	All of the given options
○	Traditional theory
○	Bird in hand theory

MGT201 - Financial Management (Quiz 3)

Question # 2 of 10 (Start time: 01:20:35 PM, 06 January 2026)

Which of the following theory states that value of a firm is in-dependant of its capital structure.

Select the correct option

○	Bird in hand theory
○	All of the given options
◉	Net operating income theory
○	Traditional theory

MGT201 - Financial Management (Quiz 3)

Question # 1 of 10 (Start time: 01:20:21 PM, 06 January 2026)

Which of the following is not the prime objective of a commercial business?

Select the correct option

○	Economic uplift
○	All of the given options
◉	Fulfillment of corporate social responsibilities
○	Employment generation

MGT201 - Financial Management (Quiz 3)

Question # 10 of 10 (Start time: 01:25:07 PM, 06 January 2026)

Which of the following represents a change in capital structure?

Select the correct option

○	An increase in % of preferred stock in the capital structure
○	An increase in % of common shares in the capital structure
○	An decrease in % of debt in the capital structure
●	All of the given options

MGT201 - Financial Management (Quiz 3)

Question # 9 of 10 (Start time: 01:24:38 PM, 06 January 2026)

Optimal capital structure is a mix of debt and equity where _____ is maximized and overall cost of capital is _____.

Select the correct option

○	Value of a firm, minimized
○	Cost of debt, maximized
◉	Value of a firm, maximized
○	Cost of equity, maximized

MGT201 - Financial Management (Quiz 3)

Question # 8 of 10 (Start time: 01:24:25 PM, 06 January 2026)

A company with _____ interest charges will pay _____ tax.

Select the correct option

○	High, high
○	Less, less
◉	High, less
○	Less, high

MGT201 - Financial Management (Quiz 3)

Question # 7 of 10 (Start time: 01:24:13 PM, 06 January 2026)

Arbitrage involves simultaneous buying and selling of assets to take advantage of _____ of the same assets.

Select the correct option

- (●) Different prices
- ( ) Equal prices
- ( ) None of the given options
- ( ) Similar prices

MGT201 - Financial Management (Quiz 3)

Question # 6 of 10 (Start time: 01:23:58 PM, 06 January 2026)

What will be YTM of a 10 years Rs. 1000 face value bond which is paying a coupon of Rs. 100 and bond is currently selling at Rs. 950?

Select the correct option

○	None of the given options
○	15%
○	12.25%
●	10.76%

MGT201 - Financial Management (Quiz 3)

Question # 5 of 10 (Start time: 01:23:43 PM, 06 January 2026)

Value of a levered firm can be calculated through:

Select the correct option

○	Value of levered firm = Value of un-levered firm / tax shield benefit
◉	Value of levered firm = Value of un-levered firm + tax shield benefit
○	Value of levered firm = Value of un-levered firm - tax shield benefit
○	Value of levered firm = Value of un-levered firm* tax shield benefit